SELBORNE COLLEGE

Grade 9 ECONOMIC AND MANAGEMENT SCIENCES / ACCOUNTING January 2008

Revision Lesson

Question 1: Complete the Cash Receipts Journal and Cash Payments Journal

On 1 January 2007 R. Radox started a business with the name R.R. Cleaners. During the month of January the business concluded the following transactions:

January 2007

1	Receipt No.023 was issued to Mr Radox for his capital contribution, R 20 000.
1	Paid the municipality R120 for an annual trading licence with a cheque no. 112.
3	Bought equipment for the office from Ideal homes and paid by cheque, R 2 500.
7	Received R1 300 service fees from clients.
9	Drew a cash cheque for wages. Radox had 6 employees each earning R50 a week.
12	Paid R300 by cheque to Mixed Products CC for: Stationery, R120; Cleaning Material, R180.
15	Received R 1 650 from Mr Koti for his monthly rent, a receipt was issued. The owner gave a personal cheque for an amount that increased his capital to R30 000.
20	Drew a cash cheque for R100 and paid: Postage, R25; Packing Material R75.
23	The owner drew a cheque for his personal use, R850.
28	Service fees received from J. Soap, R570 and from J. Muringathuparambil, R430. Receipts issued.
30	Paid for the weeks wages, R350.

Required:

Record the transactions in the CRJ and CPJ and close the journals. Provide document numbers. All cash received is deposited daily and all payments are made by cheque. Provide analysis columns in the CRJ for: Analysis of Receipts, Current Income and Sundry accounts; and in the CPJ for: Bank, Stationery, Wages and Sundry Accounts.

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Question 2: Posting to the General Ledger

CASH RECEIPTS JOURNAL OF **BOB SERVICES for November 2007** **CRJ**

Doc.	Day	Details	Fol.	Analysis of Receipts	Bank	Current Income		Sundry Accounts		
								Amount	Details	Fol.
R01	1	Bob the Builder		10 000	10 000			**10 000**	Capital	B1
R02	6	Services Rendered		4 000		4 000				
R03	6	Joe Soap		500	4 500			500	Rent Income	N2
R04	29	Services Rendered		4 000	4 000	4 000				
					18 500	**7 000**		10 600		
					B5	N1				

CASH PAYMENTS JOURNAL OF **BOB SERVICES for November 2007** **CPJ**

Doc.	Day	Name of Payee	Fol.	Bank	Equipment	Wages	Sundry Accounts		
							Amount	Details	Fol.
C01	3	Equip CC		4 000	3 000		**1 000**	Stationery	N3
C02	5	Hill Store		2 000					
C03	11	Cash		3 400		2 000	1 400	Drawings	B2
C04	18	Pens and Things		1 600			**1 600**	Stationery	N3
C05	30	"H" Suppliers CC		1 000	1 000				
				12 000	**4 000**	2 000	4 000		
				B4	B3				

Opening balances:

Capital	**20 000**	**Current Income**	**3 500**
Drawings	1 500	Rent Income	1 650
Land and Buildings	50 000	**Stationery**	**1 000**
Equipment	**13 000**	**Wages**	**2 300**
Bank	**8 500**	Rates and Taxes	300

Required:

Post from the above Journals to the following Ledger Accounts in the General Ledger:

Capital, Equipment, Bank, Current Income, Stationery and Wages.

Remember to open the opening balances and to balance the accounts.

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